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Application-Based Questions · Full Model Answers · Provision → Application → Conclusion

This sample covers

- ***Indian Regulatory Framework***
- ***The Sale of Goods Act, 1930***
- ***The Indian Partnership Act, 1932***
- ***The Limited Liability Partnership Act, 2008***
- ***The Companies Act, 2013***
- ***The Negotiable Instruments Act, 1881***

The complete Part 2 contains 70 case studies and 66 descriptive questions, with the May 2026 and September 2026 questions solved unit by unit.

About This Sample

This booklet is a free sample from The Law Kaksha *Smart Revision Question Bank, Part 2*. It contains 24 case studies, two from every unit of the Indian Regulatory Framework, the Sale of Goods Act, the Indian Partnership Act, the LLP Act, the Companies Act and the Negotiable Instruments Act, each with its complete model answer exactly as it appears in the book.

The questions were picked for one reason: each one tests what the examiner now tests. The May and September 2026 papers moved firmly towards reading a set of facts accurately and applying the right provision to them. A student who can answer these 24 questions well is a student who can handle that kind of paper. Several of them are built directly on provisions asked in May 2026, and a short note before each question tells you why it was chosen.

How the answers are written. Every model answer follows the same three labelled steps: ***Provision*** (the governing section), ***Application*** (the provision mapped onto the facts, naming the parties) and ***Conclusion*** (the answer to the question actually asked). This mirrors how marks are allotted in a problem-based question. Writing in this order every time is the single easiest improvement most candidates can make to their score.

How to use this sample. Attempt each question first, in a notebook and against the clock, before you turn to the answer. Then compare your answer step by step: did you name the section, apply it to these parties, and answer the precise question asked?

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What Is Inside This Sample

Indian Regulatory Framework

Identifying the Regulator · Choosing the Right Court

The Sale Of Goods Act, 1930

Unit 1: Formation of the Contract of Sale: Price Fixed by Valuation of Third Party · Perishing of Specific Goods Before Sale

Unit 2: Conditions and Warranties: Sale by Description & Merchantable Quality · Caveat Emptor, Concealment & Limits of "Reasonable Examination"

Unit 3: Transfer of Ownership and Delivery of Goods: Passing of Property and Risk · Sale or Return Basis

Unit 4: Unpaid Seller: Unpaid Seller's Right of Resale · Auction Sale Rules

The Indian Partnership Act, 1932

Unit 1: General Nature of Partnership: True Test of Partnership — Section 6 · Types of Partners and Public Notice on Retirement

Unit 2: Relations of Partners: Implied Authority and Statutory Restrictions — Sections 19, 20 and 22 · Minor Admitted to the Benefits of Partnership — Section 30

Unit 3: Registration and Dissolution of A Firm: Effect of Non-Registration of a Firm — Section 69 · Settlement of Accounts and Liability after Dissolution — Sections 45 and 48

The Limited Liability Partnership Act, 2008

Designated Partners — Section 7 · Reduction in Number of Partners — Section 6

The Companies Act, 2013

Small Company · Conversion of Public Company into Private Company — The 200-Member Trap

The Negotiable Instruments Act, 1881

Time Limits for Prosecution — Sections 138 and 142 · Security Cheque and the Presumption — Sections 138 and 139

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CHAPTER 1

INDIAN REGULATORY FRAMEWORK

Law and its Sources | Law-making and Enforcement | Ministries, Regulators and Courts

Sample Case Studies

Question 1. Identifying the Regulator

> ***Why this question:*** *Four everyday situations, four different authorities. The student must match each problem to SEBI, the RBI and DICGC, the IBBI and NCLT, or the MCA, which is a far better test than listing their functions.*

Mr. Sen, a retired banker, receives the following queries from members of his housing society. Identify, with reasons, the Ministry or regulatory body concerned in each case:

(i) Shalini suspects that the promoters of a listed company are manipulating the price of its shares.

(ii) Mohan wants to know whether his savings in a co-operative bank that has been placed under restrictions are insured.

(iii) A supplier, unpaid for eight months by a private limited company, wishes to initiate insolvency proceedings against it.

(iv) Two friends wish to register a limited liability partnership.

Question 2. Choosing the Right Court

> ***Why this question:*** *Brings Articles 32, 226 and 141 together in one fact pattern, along with the difference between a binding precedent and one that is merely persuasive.*

Mr. Kedar, a resident of Pune, alleges that an order of a State Government authority has violated his fundamental right to carry on his trade. His lawyer tells him that he may approach either the Bombay High Court or the Supreme Court directly. Kedar also finds a judgment of the Karnataka High Court, on identical facts, in his favour, and a later judgment of the Supreme Court against him.

Advise Kedar: (i) under which provisions of the Constitution he may approach each court; and (ii) what weight each of the two judgments will carry before the Bombay High Court.

Suggested Answers

Answer 1. Identifying the Regulator

(i) **Securities and Exchange Board of India (SEBI).** SEBI is the regulator of the securities and commodity markets in India and was given statutory powers by the SEBI Act, 1992. Manipulation of the price of listed shares falls squarely within its jurisdiction.

(ii) **Reserve Bank of India, through the Deposit Insurance and Credit Guarantee Corporation (DICGC).** The RBI regulates the banking system, and its wholly owned subsidiary, the DICGC, insures deposits with banks, including co-operative banks, up to the prescribed limit.

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(iii) **Insolvency and Bankruptcy Board of India (IBBI) and the National Company Law Tribunal.** Insolvency of companies is governed by the Insolvency and Bankruptcy Code, 2016. The IBBI regulates the insolvency process and professionals, and the application is made to the National Company Law Tribunal, the adjudicating authority for companies and LLPs.

(iv) **Ministry of Corporate Affairs.** The MCA administers the Limited Liability Partnership Act, 2008; an LLP is incorporated by filing the incorporation document with the Registrar functioning under the MCA.

Answer 2. Choosing the Right Court

(i) Constitutional remedies

Kedar may move the Supreme Court directly by a writ petition under Article 32 of the Constitution for the enforcement of his fundamental rights. He may alternatively move the Bombay High Court under Article 226, which empowers every High Court to issue writs for the enforcement of fundamental rights and for any other purpose. The High Court's power of superintendence over the courts and tribunals within its territory is contained in Article 227.

(ii) Weight of the two judgments

Under Article 141, the law declared by the Supreme Court is binding on all courts within the territory of India. The later Supreme Court judgment against Kedar will therefore bind the Bombay High Court. A judgment of a High Court is binding only on the courts subordinate to it within its own State; in other States it has merely persuasive value. The Karnataka High Court's judgment is therefore only persuasive in Maharashtra, and in any case cannot prevail over the Supreme Court's decision.

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CHAPTER 3

THE SALE OF GOODS ACT, 1930

Units 1 to 4 | Sections 1 to 66

UNIT 1: FORMATION OF THE CONTRACT OF SALE

Sample Case Studies

Question 1. Price Fixed by Valuation of Third Party

> ***Why this question:*** *Section 10 was tested in May 2026 (Q6(c)(ii)). This case goes further and covers the proviso on goods already delivered and the fault rule in Section 10(2).*

Mr. Nanda agreed to sell his entire stock of imported machinery parts to Mr. Kulkarni. Since neither party was confident about the correct market valuation of the specialised parts, they agreed in writing that the price would be fixed by Mr. Dutta, an independent machinery valuer known to both, whose valuation would be final and binding on both parties. Mr. Dutta was given full access to inspect the machinery parts and was expected to submit his valuation within 10 days.

Before Mr. Dutta could inspect the goods, Mr. Kulkarni, without informing Mr. Nanda, took delivery of a portion of the machinery parts directly from Mr. Nanda's warehouse for his own use, damaging some parts in the process of transporting them carelessly. Separately, Mr. Dutta, the appointed valuer, suddenly suffered a heart attack and could not carry out the valuation at all, nor could he be substituted immediately as he was the only expert with the required technical knowledge agreeable to both parties.

Analysing the provisions of the Sale of Goods Act, 1930, advise:

(i) What is the effect on the contract when the third party appointed to fix the price cannot make the valuation?

(ii) Does Mr. Kulkarni's action of taking delivery of part of the goods before valuation, and damaging them, have any bearing on his liability, despite the price not yet being fixed?

(iii) Would your answer to (i) differ if Mr. Dutta's inability to value was caused by the fault of Mr. Kulkarni himself (say, he deliberately obstructed Mr. Dutta's inspection)?

Question 2. Perishing of Specific Goods Before Sale

> ***Why this question:*** *Sections 7 and 8 side by side: specific goods perishing before the contract is made versus after it. Students routinely blur the two.*

Mr. Kulshreshtha agreed to sell his specific, identified racehorse, "Thunderbolt," to Ms. Ahluwalia for ₹8,00,000, with delivery and payment to take place ten days later. Neither party was at fault, and both believed the horse to be alive and healthy at the time of the agreement. Two days after the agreement but before delivery, Thunderbolt suddenly died of a cardiac condition that could not have been foreseen or prevented by either party.

Ms. Ahluwalia claims that since the agreement was already made, she should still be entitled to some compensation or substitute arrangement from Mr. Kulshreshtha, while Mr. Kulshreshtha says the agreement simply stands cancelled and neither party owes the other anything.

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Analysing the provisions of the Sale of Goods Act, 1930, advise:

(i) What is the effect on an agreement to sell specific goods when the goods perish without the fault of either party before the sale is completed?

(ii) Is Ms. Ahluwalia liable to pay the price, or entitled to any compensation, in these circumstances?

(iii) Would your answer differ if Thunderbolt had in fact already died before the agreement was made, though Mr. Kulshreshtha was unaware of this at that time?

Suggested Answers

Answer 1. Price Fixed by Valuation of Third Party

(i) Effect of Third Party's Inability to Value

Provisions: Section 10(1) provides that where the price is to be fixed by the valuation of a third party and that third party cannot or does not make the valuation, the agreement becomes void, except that if the goods or any part of them have been delivered to and appropriated by the buyer, he must pay a reasonable price for them.

Application: Mr. Dutta, the agreed valuer, suffered a heart attack and could not carry out the valuation, and no substitute valuer was agreeable to both parties.

Conclusion: The agreement to sell the machinery parts becomes void for the goods not yet delivered, since the price-fixing mechanism has failed through no one's default; however, this voidness does not automatically extend to goods already delivered to and used by the buyer, as addressed below.

(ii) Liability for Goods Already Delivered and Damaged

Provisions: Under the proviso to Section 10(1), if part of the goods have already been delivered to and appropriated by the buyer, he is bound to pay a reasonable price for that part despite the price-fixing mechanism failing. Separately, general principles of liability for wrongful or negligent acts (independent of the price-fixing provision) make a person liable for damage caused to another's property through his own negligence.

Application: Mr. Kulkarni took delivery of and used part of the machinery parts before valuation could occur, and separately damaged some of them through careless handling during transport.

Conclusion: Mr. Kulkarni must pay a reasonable price for the parts he took delivery of and appropriated, and he is additionally liable to compensate Mr. Nanda for the damage caused to the parts by his careless handling, regardless of the fact that the formal price had not yet been fixed.

(iii) If Kulkarni Caused Dutta's Inability to Value

Provisions: Section 10(2) carves out a specific exception: if the third party's failure to make the valuation is caused by the fault of either the seller or the buyer, the party in fault is liable to pay damages to the other party who is not at fault, rather than the agreement simply becoming void without consequence.

Application: If Mr. Kulkarni himself deliberately obstructed Mr. Dutta's inspection and thereby caused the valuation to fail, the failure would be attributable to Mr. Kulkarni's own fault rather than to genuine impossibility.

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Conclusion: Yes, the answer would differ — instead of the agreement merely becoming void under Section 10(1), Mr. Kulkarni, being the party at fault under Section 10(2), would be liable in damages to Mr. Nanda for the failure of the valuation.

Answer 2. Perishing of Specific Goods Before Sale

(i) Effect of Perishing Without Fault

Provisions: Section 8 provides that where there is an agreement to sell specific goods, and subsequently the goods, without any fault on the part of the seller or the buyer, perish or are so damaged as to no longer answer to their description in the agreement before the risk passes to the buyer, the agreement becomes void.

Application: Thunderbolt was a specific, identified horse, and it died suddenly of natural causes before delivery, without any fault attributable to either Mr. Kulshreshtha or Ms. Ahluwalia.

Conclusion: The agreement to sell Thunderbolt becomes void under Section 8, since the specific goods perished without the fault of either party before the sale was completed.

(ii) Liability of Ms. Ahluwalia

Provisions: Once an agreement becomes void under Section 8, neither party is required to perform their respective obligations under it — the buyer is not liable to pay the price, and equally has no right to claim damages or compensation from the seller, since the contract is treated as if it never had legal effect from that point.

Application: As the agreement stands void due to Thunderbolt's death without either party's fault, there is no subsisting obligation on Ms. Ahluwalia to pay, nor any breach by Mr. Kulshreshtha that would entitle her to compensation.

Conclusion: Ms. Ahluwalia is not liable to pay the price and is not entitled to any compensation; the agreement is simply void, exactly as Mr. Kulshreshtha contends.

(iii) If the Horse Had Already Died Before the Agreement

Provisions: Section 7 (dealing with goods perishing before the making of the contract, as distinct from Section 8's perishing after the agreement) provides that where there is a contract for the sale of specific goods, and the goods, without the knowledge of the seller, have perished at the time the contract was made, the contract is void.

Application: If Thunderbolt had, in fact, already died before the agreement was made, but Mr. Kulshreshtha himself was unaware of this fact and genuinely believed the horse to be alive, the very subject matter of the contract did not exist at the time of contracting.

Conclusion: The legal basis shifts from Section 8 to Section 7, but the practical outcome remains the same — the contract would be void ab initio since the specific goods had already ceased to exist, without the seller's knowledge, at the time the agreement was made.

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UNIT 2: CONDITIONS AND WARRANTIES

Sample Case Studies

Question 1. Sale by Description & Merchantable Quality

> ***Why this question:*** *Shows why caveat emptor is never the end of the analysis. Section 16(2) implies merchantable quality in a sale by description even when the buyer did not rely on the seller at all.*

Mr. Kapadia runs a restaurant in Pune and ordered 50 sacks of "Grade A Basmati Rice" from a wholesale supplier, "Golden Grains Traders," purely based on the product description in their catalogue and price list. He did not disclose any particular purpose beyond general restaurant use, did not ask for a sample, and did not rely on any specific advice from the supplier — he simply placed the order by description and paid an advance.

When the sacks were delivered, Mr. Kapadia's kitchen staff found that a large proportion of the rice was broken grain and mixed with a visibly inferior variety, far below what is commercially understood as "Grade A" quality, even though the sacks were correctly labelled. Mr. Kapadia wants to reject the entire consignment. The supplier argues that since Mr. Kapadia neither disclosed any special purpose nor relied on the supplier's skill or judgment, the rule of caveat emptor fully applies, and he must bear the consequences of not personally checking the rice before it left the warehouse.

Analysing the provisions of the Sale of Goods Act, 1930, advise:

(i) Is the supplier correct that caveat emptor fully applies since Mr. Kapadia neither disclosed a particular purpose nor relied on the supplier's skill or judgment?

(ii) Does the Act imply any condition in Mr. Kapadia's favour even in a plain sale by description, and if so, under which provision?

(iii) Would your answer to (ii) change if Mr. Kapadia's staff had opened and visually inspected a few sacks at the time of delivery and could have noticed the poor quality then, but chose not to look closely?

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Question 2. Caveat Emptor, Concealment & Limits of "Reasonable Examination"

> ***Why this question:*** *The same defect, two opposite answers: concealment by the seller versus a careless inspection by the buyer.*

Mr. Tandon wanted to buy a second-hand printing machine for his press and visited "Print Point Machinery," a dealer in used printing equipment. Before finalising the deal, Mr. Tandon brought along his own technician to inspect the machine, who examined the visible surfaces and ran a short trial print, finding nothing wrong. What neither Mr. Tandon nor his technician could detect was that the dealer had freshly painted over several internal rusted and corroded parts of the machine specifically to hide long-standing corrosion damage, which was not visible without dismantling the machine.

Within two weeks of installation, the machine broke down completely due to the underlying corrosion. When confronted, the dealer admitted the parts were rusted but argued that Mr. Tandon had inspected the machine with his own technician and accepted it as satisfactory, so the rule of caveat emptor protects the dealer from any liability now.

Analysing the provisions of the Sale of Goods Act, 1930, advise:

(i) Can the dealer successfully rely on caveat emptor when the defect was actively concealed by the dealer's own act of painting over the corrosion?

(ii) Does the fact that Mr. Tandon's technician conducted an inspection and found nothing wrong affect the applicability of caveat emptor here?

(iii) Would your answer differ if the rust had been plainly visible on the outer surface of the machine, and Mr. Tandon's technician simply failed to notice it during a careless inspection?

Suggested Answers

Answer 1. Sale by Description & Merchantable Quality

(i) Does Caveat Emptor Fully Apply?

Provisions: Section 16 opens with the general rule of caveat emptor, but Section 16(2) implies a condition of merchantable quality where goods are bought by description from a seller who deals in goods of that description, whether or not the buyer discloses any particular purpose or relies on the seller's skill or judgment. This exception operates independently of Section 16(1).

Application: Mr. Kapadia bought the rice purely by description ("Grade A Basmati Rice") from a wholesale trader dealing in such goods, even though he disclosed no special purpose and did not rely on the supplier's advice.

Conclusion: The supplier is not correct — caveat emptor does not fully apply here, because Section 16(2) implies a condition of merchantable quality regardless of disclosed purpose or reliance on skill.

(ii) Implied Condition Applicable

Provisions: Section 16(2) implies a condition that goods bought by description shall be of merchantable quality, meaning they must be reasonably fit for the purposes for which such goods are ordinarily bought and sold, and of a quality that a reasonable buyer would accept given their description and price.

Application: Rice heavily mixed with broken grain and an inferior variety falls well short of what is commercially understood as "Grade A" quality, even though correctly labelled and packed.

Conclusion: Yes, Section 16(2) implies a condition of merchantable quality in Mr. Kapadia's favour, and its breach entitles him to reject the consignment.

(iii) Effect of an Opportunity to Examine

Provisions: The proviso to Section 16(2) states that if the buyer has examined the goods, there is no implied condition as regards defects which such examination ought to have revealed.

Application: If Mr. Kapadia's staff opened and could have visually noticed the broken grain and inferior quality during delivery but chose not to look closely, this may amount to an examination that ought to have revealed the defect through ordinary diligence.

Conclusion: The answer could change — if a reasonable examination at delivery ought to have revealed the visible defects, the proviso to Section 16(2) may exclude the implied condition to that extent, weakening Mr. Kapadia's right to reject on this ground.

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Answer 2. Caveat Emptor, Concealment & Limits of "Reasonable Examination"

(i) Effect of Active Concealment by the Dealer

Provisions: Caveat emptor is subject to the exception that it does not protect a seller who is guilty of fraud or active concealment of a defect that the buyer could not have discovered through ordinary care. A seller who deliberately conceals a defect cannot take shelter behind the buyer's failure to detect what was concealed by the seller's own wrongful act.

Application: The dealer deliberately painted over the internal rusted and corroded parts specifically to hide long-standing corrosion, which was the very reason the defect could not be found through a normal inspection.

Conclusion: The dealer cannot successfully rely on caveat emptor, since the defect was actively and deliberately concealed by the dealer himself; this falls outside the protection the rule is meant to give a seller.

(ii) Effect of the Technician's Inspection

Provisions: Caveat emptor generally places the burden on the buyer to examine goods carefully, but an inspection is only meaningful to the extent the defect was reasonably discoverable. Where a defect has been intentionally hidden through the seller's own act, a routine external inspection or trial run does not amount to full disclosure of the true condition of the goods, and does not amount to the buyer's acceptance of a known risk.

Application: Mr. Tandon's technician examined the visible surfaces and ran a trial print, which is the standard level of diligence expected, but could not have detected the concealed internal corrosion without dismantling the machine.

Conclusion: The inspection does not defeat Mr. Tandon's claim, because it was rendered ineffective by the dealer's own act of concealment; caveat emptor cannot be invoked to protect a seller whose own conduct frustrated the buyer's reasonable examination.

(iii) If the Rust Had Been Plainly Visible

Provisions: Where a defect is open and apparent on the surface and discoverable through ordinary reasonable examination, and the buyer's own representative simply fails to notice it through carelessness, the rule of caveat emptor applies in full force, since there is no concealment or fraud by the seller in such a case.

Application: If the rust had been plainly visible externally and the technician's inspection was merely careless rather than defeated by concealment, the buyer would have had a genuine and adequate opportunity to discover the defect himself.

Conclusion: Yes, the answer would differ — in that situation, caveat emptor would squarely apply, and Mr. Tandon would bear the consequences of his technician's careless inspection, with the dealer not liable.

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UNIT 3: TRANSFER OF OWNERSHIP AND DELIVERY OF GOODS

Sample Case Studies

Question 1. Passing of Property and Risk

> ***Why this question:*** *Ascertainment, appropriation, reservation of the right of disposal and risk (Sections 18, 23, 25 and 26) in one four-part problem. Section 25 was tested in May 2026 Q6(c).*

On 10 September 2026, Zenith Appliances Ltd. agreed to sell 500 premium air-conditioners to CoolSpace Retailers for ₹1.75 crore. The contract stated that the ACs would be delivered in three lots of 200, 150 and 150 units. The ACs were lying in Zenith's warehouse and were not individually identified at the time of the contract.

On 15 September, Zenith separated 200 ACs matching the agreed description, packed them in cartons bearing CoolSpace's name and kept them in a separate section of the warehouse. CoolSpace's representative inspected the cartons and approved the selection. The remaining 300 ACs were still part of Zenith's general stock.

The contract further provided that Zenith would send the first lot through Rapid Logistics and that "property in the goods shall remain with Zenith until the entire invoice for the respective lot is paid." Zenith handed the 200 cartons to Rapid Logistics. The railway receipt was made deliverable to the order of Zenith, and Zenith sent the invoice and railway receipt to CoolSpace against payment.

CoolSpace neither paid nor returned the railway receipt. Before CoolSpace made payment, Zenith instructed Rapid Logistics not to release the goods to CoolSpace. Meanwhile, the goods were damaged in a warehouse fire at Rapid Logistics.

Separately, the remaining 300 ACs were still lying in Zenith's warehouse when CoolSpace's manager sent an email saying, "We confirm the remaining 300 units also stand selected for our order." Zenith replied, "Noted." Before those 300 units were separated, however, a flood destroyed Zenith's warehouse.

Analysing the provisions of the Sale of Goods Act, 1930, advise:

(a) With respect to the first 200 ACs, determine whether the property had passed to CoolSpace before the fire. Give reasons.

(b) Does the fact that the railway receipt was deliverable to the order of Zenith affect the passing of property? Explain.

(c) Who will bear the loss of the remaining 300 ACs destroyed in the flood? Give reasons with reference to appropriation.

(d) Assume instead that Zenith had handed the 200 ACs to Rapid Logistics without reserving any right of disposal and the goods were destroyed during transit. Who would bear the risk?

Question 2. Sale or Return Basis

> ***Why this question:*** *Sale on approval under Section 24, built on the pattern of May 2026 Q2(a): when does conduct, rather than words, amount to acceptance?*

Rhea, the proprietor of a premium jewellery store, approached "Aura Interiors" for a customised glass display counter for her newly renovated showroom. After discussing the dimensions, colour,

lighting and storage requirements, she selected a particular counter design from the showroom catalogue.

The total price agreed was ₹2,40,000. Since the counter was to be specially modified according to Rhea's requirements, it was agreed that Aura Interiors would make the necessary modifications and install the counter at Rhea's showroom. Rhea specifically informed the proprietor, Mr. Arjun, that the counter would be accepted only if the final dimensions matched those discussed and the lighting arrangement was as specified.

Arjun agreed that Rhea would have **15 days from the date of installation** to approve the counter or reject it.

The counter was completed and transported to Rhea's showroom. During transportation, one of the glass panels developed a minor scratch which did not affect the functioning of the counter. Arjun's employees installed the counter and connected the lighting system.

At the time of installation, Rhea inspected the counter and told Arjun's employee:

"The counter looks good. I will check it properly after arranging the jewellery."

She thereafter placed ₹30,000 worth of jewellery inside the counter and began using it for displaying jewellery to customers.

Ten days later, Rhea informed Arjun that she was rejecting the counter because the depth of the storage section was 2 cm more than what she had originally requested. She also argued that she had never expressly informed Arjun that she accepted the counter.

Arjun demanded the balance price of ₹2,40,000. Rhea refused to pay and contended that since the transaction was on "approval or return" basis, she could reject the counter at any time within the 15-day period.

Questions

(i) Whether Rhea can reject the counter merely because 15 days had not expired, despite having placed jewellery in the counter and used it for displaying goods?

(ii) Whether Rhea's statement, "The counter looks good," amounts to signifying approval of the transaction?

(iii) If Rhea had neither expressly approved nor used the counter, but retained it for 15 days without informing Arjun of rejection, whether the property in the counter would have passed to Rhea?

(iv) Assume that the scratch on the glass panel had occurred before installation and made the counter materially unsuitable for displaying jewellery. Would Rhea's position be different?

Suggested Answers

Answer 1. Passing of Property and Risk

(a) Whether property in the first 200 ACs passed to CoolSpace before the fire

Provision: As per Section 23, in the case of unascertained goods, property passes to the buyer when the goods are unconditionally appropriated to the contract with the assent of the buyer or seller. However, under Section 25, the seller may reserve the right of disposal until a specified

condition is fulfilled. Where such right is reserved, property does not pass to the buyer until the condition is fulfilled.

Application: In the present case, the 200 ACs were separated from the bulk stock and CoolSpace's representative had approved them. Therefore, the goods were identified and appropriated to the contract. However, the contract specifically provided that the property would remain with Zenith until the invoice for the respective lot was paid. Further, the railway receipt was made deliverable to the order of Zenith. This indicates that Zenith had reserved the right of disposal. Since CoolSpace had not made the required payment when the fire occurred, the condition for passing of property had not been fulfilled.

Conclusion: The property in the first 200 ACs had not passed to CoolSpace at the time of the fire. Zenith continued to be the owner of the goods and would bear the risk of loss.

(b) Effect of railway receipt being deliverable to Zenith's order

Provision: Under Section 25, where goods are delivered to a carrier and the bill of lading or railway receipt makes the goods deliverable to the order of the seller or his agent, the seller is prima facie deemed to have reserved the right of disposal.

Application: In this case, the railway receipt was made deliverable to the order of Zenith. Therefore, Zenith is prima facie deemed to have reserved the right of disposal. This is consistent with the express contractual condition that ownership would remain with Zenith until payment. Thus, merely handing over the goods to Rapid Logistics did not result in the passing of property to CoolSpace.

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Conclusion: Yes. The railway receipt being deliverable to Zenith's order supports the conclusion that Zenith had reserved the right of disposal, and hence property had not passed to CoolSpace until the stipulated payment was made.

(c) Loss of the remaining 300 ACs

Provision: Under Section 18, in a contract for sale of unascertained goods, no property passes to the buyer unless and until the goods are ascertained. Further, under Section 23, property passes only when goods are unconditionally appropriated to the contract with the requisite assent. Mere intention to appropriate is not sufficient.

Application: The remaining 300 ACs were still part of Zenith's general stock. Although CoolSpace sent an email stating that the 300 units "stand selected" and Zenith replied "Noted", the goods had not actually been separated or unconditionally appropriated to the contract. Therefore, the goods remained unascertained and had not been appropriated to CoolSpace's contract.

Conclusion: The property in the remaining 300 ACs had not passed to CoolSpace. Therefore, the loss caused by the flood would be borne by Zenith.

(d) If Zenith had not reserved the right of disposal

Provision: Under Section 23(2), where the seller delivers goods to a carrier for transmission to the buyer and does not reserve the right of disposal, such delivery is deemed to be an unconditional appropriation of the goods to the contract. Under Section 26, unless otherwise agreed, risk passes with the property. Once property passes to the buyer, the goods are at the buyer's risk even though delivery has not been made.

Application: If Zenith had delivered the 200 ACs to Rapid Logistics without reserving the right of disposal, the delivery to the carrier would amount to unconditional appropriation to the contract. Consequently, property would have passed to CoolSpace and, along with it, the risk would also have passed to CoolSpace.

Conclusion: CoolSpace would bear the loss caused by the accidental destruction of the goods during transit.

Answer 2. Sale or Return Basis

(i) Whether Rhea can reject the counter merely because 15 days had not expired

Provision: As per Section 24 of the Sale of Goods Act, 1930, where goods are delivered to the buyer on approval or "sale or return" basis, the property in the goods passes to the buyer when:

- the buyer signifies his approval or acceptance to the seller; or
- the buyer does any other act adopting the transaction; or
- the buyer retains the goods beyond the fixed period without giving notice of rejection.

Application: In the present case, Rhea was given 15 days from installation to approve or reject the counter. However, before expiry of the 15 days, she not only retained the counter but also placed jewellery worth ₹30,000 inside it and started using it for displaying jewellery to customers. Using

the counter for the very purpose for which it was purchased amounts to an act adopting the transaction. Therefore, her conduct is inconsistent with treating the counter merely as goods held on approval. The fact that the 15-day period had not expired is therefore not sufficient to enable Rhea to reject the counter after she has already adopted the transaction.

Conclusion: No, Rhea cannot reject the counter merely because the 15-day period had not expired. By using the counter for displaying jewellery, she has done an act adopting the transaction and the property in the counter has passed to her.

(ii) Whether Rhea's statement "The counter looks good" amounts to approval

Provision: Under Section 24, property passes when the buyer signifies his approval or acceptance to the seller or does any other act adopting the transaction.

Application: In the present case, Rhea stated: "The counter looks good. I will check it properly after arranging the jewellery."

The first part of the statement appears favourable to the counter. However, the statement as a whole shows that Rhea had not yet finally approved or accepted the counter, since she expressly stated that she would check it properly after arranging the jewellery. Therefore, the statement by itself cannot be treated as an unequivocal communication of acceptance.

However, subsequently Rhea placed jewellery inside the counter and started using it for displaying jewellery. This subsequent conduct constitutes an act adopting the transaction.

Conclusion: Rhea's statement "The counter looks good" by itself does not amount to final approval, because her subsequent words show that she intended to examine it further. However, her subsequent use of the counter for displaying jewellery amounts to an act adopting the transaction under Section 24, and therefore the property passed to her.

(iii) If Rhea neither approved nor used the counter but retained it for 15 days

Provision: As per Section 24, where goods are delivered on approval or "sale or return" basis, if the buyer does not signify approval or acceptance but retains the goods without giving notice of rejection, then, where a time has been fixed for returning the goods, the property passes to the buyer on expiry of such fixed time.

Application: In the present case, the parties had expressly agreed that Rhea would have 15 days from installation to approve or reject the counter. If Rhea neither expressly approved the counter nor did any act adopting the transaction, but simply retained the counter for the entire 15-day period without informing Arjun that she rejected it, the fixed period of 15 days would expire without any notice of rejection from her. Therefore, the statutory condition for passing of property under Section 24 would be satisfied.

Conclusion: Yes. If Rhea retained the counter for 15 days without signifying rejection, the property in the counter would pass to her on expiry of the fixed 15-day period, and she would be liable to pay the agreed price.

(iv) If the scratch made the counter materially unsuitable for displaying jewellery

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Provision: Under Section 24, in a sale on approval or "sale or return" transaction, the buyer obtains the right to approve or reject the goods. Property passes only upon approval, adoption of the transaction, or retention beyond the fixed period without rejection. Further, in the present facts, the parties specifically agreed that Rhea would accept the counter only if it satisfied the agreed requirements regarding its specifications and suitability.

Application: Here, the scratch is stated to be material and such that the counter becomes unsuitable for displaying jewellery, which was the very purpose for which it was purchased. If Rhea had not approved the counter or done any act adopting the transaction, she would have a valid basis to reject the counter because it does not satisfy the agreed requirements and is materially unsuitable for its intended use. The position would therefore be different from the original facts, where the scratch was merely minor and did not affect the functioning of the counter.

Conclusion: Yes, Rhea's position would be different. If the scratch materially made the counter unsuitable for displaying jewellery, and she rejected it without having previously approved or adopted the transaction, she would be entitled to reject the counter, subject to the terms of the contract.

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UNIT 4: UNPAID SELLER

Sample Case Studies

Question 1. Unpaid Seller's Right of Resale

> ***Why this question:*** *The three situations in which an unpaid seller may resell under Section 54, and when the shortfall on resale can be recovered from the buyer.*

Mr. Choudhary, an unpaid seller, sold 300 bags of rice to Mr. Bansal for ₹9,00,000 and, on account of non-payment, exercised his right of lien and kept the bags in his own warehouse. He gave Mr. Bansal clear notice that if payment was not made within 7 days, he would resell the goods. Mr. Bansal did not pay within that period, and Mr. Choudhary resold the entire lot to another buyer, Mr. Rathi, for ₹8,20,000, which was the best price available at the time, and now wants to recover the shortfall of ₹80,000 from Mr. Bansal.

Separately, in another transaction, Mr. Choudhary also held 50 crates of fresh strawberries belonging to a different buyer who had defaulted on payment. Given that strawberries are highly perishable, Mr. Choudhary resold them within a day, without giving the defaulting buyer any prior notice of the resale.

Analysing the provisions of the Sale of Goods Act, 1930, advise:

(i) Under what circumstances can an unpaid seller resell goods on which he has exercised the right of lien?

(ii) Can Mr. Choudhary recover the shortfall of ₹80,000 from Mr. Bansal after reselling the rice to Mr. Rathi?

(iii) Was Mr. Choudhary justified in reselling the perishable strawberries without giving prior notice to that buyer?

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Question 2. Auction Sale Rules

> ***Why this question:*** *Section 64 in action: when a sale by auction is complete, and what happens when the seller secretly bids up the price.*

At a public auction of used office furniture conducted lot-by-lot, Ms. Kapoor was the highest bidder for "Lot 14" (a set of office chairs) when the auctioneer's hammer fell in her favour. Before the auctioneer moved to announce the next lot, she confirmed she would collect and pay for the chairs. Separately, for "Lot 22" (a conference table), the seller had secretly arranged with a friend to place bids solely to push up the price, without disclosing this arrangement or reserving any express right to bid, and without notifying bidders that such a right was reserved. Mr. Sinha, an unaware genuine bidder, ended up paying a significantly inflated price for Lot 22 because of this secret bidding.

Analysing the provisions of the Sale of Goods Act, 1930, advise:

(i) At what point is the contract of sale for Lot 14 treated as complete, and is Ms. Kapoor bound by it?

(ii) Is the seller ordinarily allowed to have someone bid on his behalf at an auction, and under what conditions is this lawful?

(iii) Given that the seller secretly employed a bidder for Lot 22 without reserving or disclosing any such right, what is the effect on the sale, and what remedy, if any, does Mr. Sinha have?

Suggested Answers

Answer 1. Unpaid Seller's Right of Resale

(i) When Resale Is Permitted

Provisions: Section 54 permits an unpaid seller who has exercised the right of lien or stoppage in transit to resell the goods in three situations: where the goods are of a perishable nature (no notice to the buyer is required); where the seller has expressly reserved a right of resale in the contract in case the buyer defaults; or where the seller gives notice to the buyer of his intention to resell, and the buyer does not pay or tender the price within a reasonable time after such notice.

Application: Mr. Choudhary gave Mr. Bansal clear notice of intention to resell within 7 days, and Mr. Bansal failed to pay within that period, which falls squarely within one of the recognised grounds for resale under Section 54.

Conclusion: The resale of the rice to Mr. Rathi after due notice and Mr. Bansal's failure to pay was a valid exercise of the unpaid seller's right of resale under Section 54.

(ii) Recovery of the Shortfall

Provisions: Section 54 further provides that where an unpaid seller validly resells the goods after giving notice, and the resale results in a loss to the seller (that is, the resale price is less than the original contract price), the seller is entitled to recover such loss or deficiency from the original buyer, since the original buyer remains liable for the difference caused by his own default.

Application: Mr. Choudhary resold the rice for ₹8,20,000 as against the original contract price of ₹9,00,000, resulting in a shortfall of ₹80,000, after having given valid notice which Mr. Bansal ignored.

Conclusion: Mr. Choudhary can recover the shortfall of ₹80,000 from Mr. Bansal, since the resale was validly conducted after proper notice under Section 54 and Mr. Bansal remains liable for the deficiency arising from his default.

(iii) Resale of Perishable Goods Without Notice

Provisions: Section 54 expressly dispenses with the requirement of notice to the buyer where the goods being resold are of a perishable nature, recognising that requiring notice and a waiting period for such goods would defeat the very purpose of resale.

Application: Strawberries are highly perishable and would have lost most or all of their value if Mr. Choudhary had waited to give notice before reselling them.

Conclusion: Mr. Choudhary was justified in reselling the perishable strawberries without giving prior notice, since Section 54 permits an unpaid seller to resell perishable goods without notice to the defaulting buyer.

Answer 2. Auction Sale Rules

(i) Completion of Sale for Lot 14

Provisions: Section 64 provides that in a sale by auction, where goods are put up for sale in lots, each lot is prima facie deemed to be the subject of a separate contract of sale, and the sale is complete when the auctioneer announces its completion by the fall of the hammer or in any other customary manner; until such announcement is made, any bidder may retract his bid.

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Application: For Lot 14, the auctioneer's hammer fell in Ms. Kapoor's favour as the highest bidder, and she confirmed she would collect and pay for the chairs before the next lot was announced.

Conclusion: The contract of sale for Lot 14 was complete on the fall of the hammer, and Ms. Kapoor is bound by it as the successful bidder for that separate lot.

(ii) Seller's Right to Bid

Provisions: Section 64 permits a seller to reserve a right to bid at the auction, but only where such a right to bid has been expressly reserved by or on behalf of the seller and notice of that reservation has been given; only then may the seller, or one person on his behalf, lawfully bid at the auction.

Application: For Lot 22, there is no indication that any right to bid was reserved by the seller or notified to bidders in advance; the seller merely arranged secretly for a friend to bid up the price.

Conclusion: A seller may lawfully employ a bidder only if the right to bid has been expressly reserved and notified in advance; without such reservation and notice, the seller cannot lawfully have someone bid on his behalf.

(iii) Effect of the Secret Bidding on Lot 22

Provisions: Section 64 further provides that if the seller, or the auctioneer knowingly on the seller's behalf, employs a person to bid at the sale without such right having been reserved and notified, the sale is voidable at the option of the buyer.

Application: The seller secretly arranged for a friend to bid up Lot 22 without reserving or disclosing any such right, causing Mr. Sinha to pay an artificially inflated price as a genuine, unaware bidder.

Conclusion: The sale of Lot 22 is voidable at the option of Mr. Sinha, since the secret and undisclosed bidding by a person employed by the seller, without any reserved and notified right to bid, falls squarely within the prohibition in Section 64.

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CHAPTER 4

THE INDIAN PARTNERSHIP ACT, 1932

Units 1 to 3 | Sections 4 to 72

UNIT 1: GENERAL NATURE OF PARTNERSHIP

Sample Case Studies

Question 1. True Test of Partnership — Section 6

> ***Why this question:*** *Sharing profits is not the same as being a partner. The employee, the widow and the lender, the classic exclusions in Section 6, are tested together against the mutual-agency test.*

Mr. Devendra carries on a wholesale business in food grains at Ladakh under the name and style of "Devendra Traders". Three separate arrangements exist in relation to this business:

(a) Mr. Sameer has been appointed as the General Manager of the business. He is paid a fixed salary of ₹ 45,000 per month plus 12% of the annual net profits of the business. He purchases stock, supervises the godown and signs delivery challans, but every decision above ₹ 2 lakh requires Mr. Devendra's written approval.

(b) Mrs. Kavita, the widow of Mr. Devendra's deceased business associate, is paid an annuity of ₹ 20,000 per month out of the profits of the business for a period of five years, in recognition of her late husband's contribution.

(c) Mr. Farhan, a financier, advanced ₹ 40 lakh to the business by way of loan. Under the loan agreement he is entitled to 15% of the net profits until the loan is repaid, and he may inspect the books of account once every quarter to satisfy himself about the recovery of his money.

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The business suffered heavy losses and its creditors now seek to recover the dues of the business from Mr. Sameer, Mrs. Kavita and Mr. Farhan, contending that all of them are partners because each of them shares in the profits.

Examine, with reference to the provisions of the Indian Partnership Act, 1932, whether the contention of the creditors is correct in each of the three cases.

Question 2. Types of Partners and Public Notice on Retirement

> ***Why this question:*** *Sleeping, nominal and profits-only partners, plus a sub-partner, and the one retiring partner who escapes liability even though no public notice was given.*

M/s Vaibhav Agro Industries, a partnership firm at Jamnagar engaged in the trading of agricultural implements, has the following four partners:

(i) Mr. Vaibhav — who manages the entire business, deals with customers and signs all contracts on behalf of the firm;

(ii) Mr. Sudhir — who has contributed capital and shares profits and losses, but takes no part whatsoever in the conduct of the business and whose association with the firm is not known to any outsider;

(iii) Mr. Kailash — a well-known agriculturist of the district who has lent only his name to the firm for the goodwill it carries. He has contributed no capital, takes no part in management and receives no share of profits;

(iv) Mr. Tanmay — who was admitted on the express term that he shall share only the profits of the firm and shall not be liable to bear any share of the losses.

On 1st September, 2025, Mr. Sudhir and Mr. Kailash both retired from the firm. No public notice of either retirement was given. On 15th November, 2025, the firm purchased goods worth ₹ 6,00,000 on credit from M/s Konkan Suppliers, who had no knowledge of either retirement. The firm has since defaulted in payment, and the supplier has sued all the four persons named above.

Additionally, Mr. Vaibhav had, on 1st March, 2025, entered into a private arrangement with his brother-in-law Mr. Ganesh, under which one-half of Mr. Vaibhav's share of profits in the firm would be paid over to Mr. Ganesh. Mr. Ganesh has now demanded that he be permitted to inspect the books of the firm and to take part in its management, and the supplier has also joined him as a defendant.

Analysing the relevant provisions of the Indian Partnership Act, 1932, determine the liability, if any, of Mr. Sudhir, Mr. Kailash, Mr. Tanmay and Mr. Ganesh.

Suggested Answers

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Answer 1. True Test of Partnership — Section 6

Provision: Section 4 of the Indian Partnership Act, 1932 defines partnership as the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all. Section 6 provides that in determining whether a group of persons is or is not a firm, regard shall be had to the real relation between the parties, as shown by all relevant facts taken together.

Explanation II to Section 6 makes it clear that the receipt by a person of a share of the profits of a business, or of a payment contingent upon or varying with the profits, does not of itself make him a partner. In particular, the following persons are not partners merely by reason of such receipt:

- a lender of money to persons engaged or about to engage in any business;
- a servant or agent receiving remuneration by way of a share of profits;
- the widow or child of a deceased partner receiving an annuity out of profits;
- a previous owner or part-owner of the business receiving a share of profits as consideration for the sale of the goodwill or share thereof.

The conclusive test of partnership is mutual agency — that is, whether the business is carried on by all or any of them acting for all, so that each person is both a principal and an agent of the others.

Application: (a) Mr. Sameer receives a share of profits, but he does so as remuneration for his services as General Manager. He works under the control and superintendence of Mr. Devendra and cannot commit the business beyond ₹ 2 lakh without written approval. He is therefore an employee whose remuneration is measured partly by profits. There is no mutual agency; he acts for Mr. Devendra and not for himself as a principal.

(b) Mrs. Kavita is the widow of a deceased associate receiving an annuity out of profits. Her case falls squarely within Explanation II(c) to Section 6. She contributes no capital, exercises no control and has no authority to bind the business. She is not a partner.

(c) Mr. Farhan is a lender of money. His share in profits is in the nature of a return on, and security for, the loan advanced. The quarterly right of inspection is a protective covenant intended only to safeguard recovery of his money, and does not amount to a right to manage the business or to bind it by his acts. Mutual agency is absent, and his case falls within Explanation II(a) to Section 6.

Conclusion: The contention of the creditors is not correct in any of the three cases. Mr. Sameer, Mrs. Kavita and Mr. Farhan are not partners of the business and cannot be made personally liable for its debts. Sharing of profits by itself is only prima facie evidence of partnership; in the absence of mutual agency, none of them can be treated as a partner.

Answer 2. Types of Partners and Public Notice on Retirement

Provision: Under the Indian Partnership Act, 1932, partners are classified according to the extent of their participation and liability. A sleeping or dormant partner shares profits and losses and is liable to third parties, but takes no part in the conduct of the business and is not known to outsiders as a partner. A nominal partner lends only his name to the firm, contributes no capital and takes no share in profits, but is nevertheless liable to third parties for all acts of the firm, since it is on the strength of his name that credit is obtained. A partner in profits only shares profits but not losses; as regards third parties, however, he remains liable for all acts of the firm.

Section 32(3) requires public notice of retirement; until such notice is given, the retiring partner continues to be liable for acts of the firm done after retirement. However, a dormant or sleeping partner, whose association with the firm was never known to third parties, is not required to give public notice of retirement, because no third party could have given credit on the faith of his being a partner.

A sub-partner is a person with whom a partner agrees to share his own share of profits. Such an arrangement is between that partner and the outsider alone. A sub-partner has no rights against the firm, cannot interfere in the conduct of its business, cannot demand accounts or inspect its books, and is under no liability to the creditors of the firm.

Application: Mr. Sudhir was a sleeping partner whose connection with the firm was unknown to any outsider. M/s Konkan Suppliers could not have extended credit on the faith of his being a partner. He therefore need not have given public notice on retirement.

Mr. Kailash was a nominal partner. His name was the very asset for which he was taken into the firm, and outsiders dealt with the firm on the strength of that name. On retirement he was bound to give public notice; having failed to do so, the protection of Section 32(3) is unavailable to him.

Mr. Tanmay is a partner in profits only. The stipulation that he shall not bear losses is an arrangement inter se the partners; it does not bind third parties dealing with the firm.

Mr. Ganesh is a sub-partner under a private arrangement with Mr. Vaibhav. He is a stranger to the firm.

Conclusion: Mr. Sudhir is not liable for the credit purchase of 15th November, 2025, notwithstanding the absence of public notice. Mr. Kailash is liable to M/s Konkan Suppliers for ₹ 6,00,000, since he failed to give public notice of his retirement. Mr. Tanmay is fully liable to the supplier, his exemption from losses being effective only against his co-partners. Mr. Ganesh, being merely a sub-partner, is neither entitled to inspect the books nor to participate in management,

and is equally not liable to the supplier; his only right is to receive from Mr. Vaibhav the agreed portion of the latter's profits.

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UNIT 2: RELATIONS OF PARTNERS

Sample Case Studies

Question 1. Implied Authority and Statutory Restrictions — Sections 19, 20 and 22

> ***Why this question:*** *Five acts by one partner: the Section 19(2) restrictions, the Section 20 internal limit that does not bind an outsider, and emergency powers under Section 21.*

M/s Trimurti Textiles is a partnership firm at Mumbai carrying on the business of manufacture and sale of cotton fabric. It has three partners, Mr. Trilok, Mr. Murari and Mr. Tejas, all of whom are active partners. During the months of January and February, 2026, Mr. Trilok did the following acts without consulting the other two partners:

(i) He agreed with a defaulting buyer that the firm's pending claim of ₹ 14 lakh against him would be referred to arbitration.

(ii) He purchased a godown at Sangli for ₹ 55 lakh in the name of the firm, on the ground that the firm was in urgent need of storage space.

(iii) He opened a current account with a co-operative bank in his own name, into which he deposited cheques received from the customers of the firm.

(iv) He purchased 40 bales of grey cotton yarn worth ₹ 9 lakh from a regular supplier of the firm, in the ordinary course of business and in the firm name. Unknown to the supplier, the partnership deed contained a clause restricting each partner from making purchases exceeding ₹ 5 lakh without the written consent of the other partners.

(v) On learning that a consignment of finished fabric lying at the transporter's warehouse had been damaged by seepage of rainwater and was deteriorating rapidly, and being unable to contact the other partners who were travelling abroad, he sold the entire consignment locally at a price 20% below the market rate.

Examine each of the above acts with reference to the provisions of the Indian Partnership Act, 1932 and state whether the firm is bound thereby.

Question 2. Minor Admitted to the Benefits of Partnership — Section 30

> ***Why this question:*** *Section 30 was tested in May 2026 (Q5(b)). Here the six-month election period has to be worked out to the exact date.*

Rohan, aged 15 years, was admitted to the benefits of the partnership firm M/s Sahyadri Agro Foods on 1st July, 2022 with the consent of all the partners, and was given a one-fifth share in the profits of the firm. Rohan attained majority on 12th August, 2025. He came to know of his admission to the benefits of the firm on 20th September, 2025, when the accounts of the firm were shown to him for the first time.

Rohan did not give any public notice thereafter. On 5th May, 2026, a creditor of the firm, M/s Godavari Packaging, filed a suit against the firm and all its partners for recovery of ₹ 12 lakh in respect of supplies made to the firm during the period from October, 2022 to March, 2026, and joined Rohan as a defendant, claiming that he is personally liable for the entire amount.

Rohan contends that, at the highest, he can be made liable only for the dues that arose after 12th August, 2025, and that in any case his liability is limited to his share in the firm.

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Analysing the provisions of the Indian Partnership Act, 1932, decide:

(i) The date on which the period for making the election expired.

(ii) The status of Rohan in the firm as on the date of the suit.

(iii) The extent of Rohan's liability towards M/s Godavari Packaging.

(iv) What the position would have been had Rohan given public notice on 1st December, 2025 electing not to become a partner.

Suggested Answers

Answer 1. Implied Authority and Statutory Restrictions — Sections 19, 20 and 22

Provision: Under Section 18, a partner is the agent of the firm for the purposes of the business of the firm. Section 19(1) provides that, subject to the provisions of Section 22, the act of a partner which is done to carry on, in the usual way, business of the kind carried on by the firm binds the firm; and this authority is called his implied authority. Section 22 requires that such an act must be done or executed in the firm name, or in any other manner expressing or implying an intention to bind the firm.

Section 19(2) provides that in the absence of any usage or custom of trade to the contrary, the implied authority of a partner does not empower him to — (a) submit a dispute relating to the business of the firm to arbitration; (b) open a banking account on behalf of the firm in his own name; (c) compromise or relinquish any claim or portion of a claim by the firm; (d) withdraw a suit or proceeding filed on behalf of the firm; (e) admit any liability in a suit or proceeding against the firm; (f) acquire immovable property on behalf of the firm; (g) transfer immovable property belonging to the firm; and (h) enter into partnership on behalf of the firm.

Section 20 permits the partners, by contract between them, to extend or restrict the implied authority of any partner; but such a restriction does not affect a third party dealing with the firm unless he knows of the restriction or does not know that the person he is dealing with is a partner. Section 21 provides that a partner has authority, in an emergency, to do all such acts for the purpose of protecting the firm from loss as would be done by a person of ordinary prudence in his own case acting under similar circumstances, and such acts bind the firm.

Application: (i) Referring the firm's claim to arbitration falls within clause (a) of Section 19(2) and is outside the implied authority of Mr. Trilok.

(ii) Acquiring the godown is the acquisition of immovable property on behalf of the firm, which falls within clause (f) of Section 19(2). The urgency of the need for storage does not convert an act expressly excluded by statute into an act within implied authority.

(iii) Opening a banking account on behalf of the firm in his own name falls within clause (b) of Section 19(2).

(iv) The purchase of yarn is an act done to carry on, in the usual way, business of the kind carried on by the firm, and was made in the firm name. The restriction of ₹ 5 lakh is an internal restriction under Section 20. The supplier is a regular supplier who dealt with Mr. Trilok knowing him to be a partner, and had no knowledge of the restriction.

(v) The consignment was deteriorating, the other partners could not be contacted, and the sale was made to protect the firm from a larger loss. This is precisely the kind of act contemplated by Section 21.

Conclusion: The firm is not bound by the acts at (i), (ii) and (iii), all of which fall outside the implied authority of a partner under Section 19(2) and required the consent of Mr. Murari and Mr. Tejas.

But the firm is bound by the purchase of yarn at (iv), the internal restriction being unenforceable against the supplier who had no knowledge of it. The firm is also bound by the emergency sale at (v) under Section 21, and Mr. Trilok is entitled to be indemnified by the firm in respect of it under Section 13(e).

Answer 2. Minor Admitted to the Benefits of Partnership — Section 30

Provision: Section 30 of the Indian Partnership Act, 1932 provides that a person who is a minor may not be a partner in a firm, but with the consent of all the partners for the time being, he may be admitted to the benefits of partnership. During his minority, his share is liable for the acts of the firm, but he is not personally liable for any such act.

Section 30(5) provides that at any time within six months of his attaining majority, or of his obtaining knowledge that he had been admitted to the benefits of partnership, whichever date is later, such person may give public notice that he has elected to become or that he has elected not to become a partner in the firm, and such notice shall determine his position as regards the firm. If he fails to give such notice, he shall become a partner in the firm on the expiry of the said six months.

Where such person becomes a partner, Section 30(7) provides that his rights and liabilities as a minor continue up to the date on which he becomes a partner, but he also becomes personally liable to third parties for all acts of the firm done since he was admitted to the benefits of partnership. Where he elects not to become a partner, Section 30(8) provides that his rights and liabilities continue to be those of a minor up to the date of the notice, his share is not liable for any acts of the firm done after the date of the notice, and he is entitled to sue the partners for his share of the property and profits.

Application: (i) Rohan attained majority on 12th August, 2025, and obtained knowledge of his admission to the benefits of the firm on 20th September, 2025. The six-month period runs from the later of the two dates, that is, from 20th September, 2025, and accordingly expired on 20th March, 2026.

(ii) Rohan gave no public notice within that period. By operation of Section 30(5), he became a partner in M/s Sahyadri Agro Foods on the expiry of six months, that is, with effect from 20th March, 2026. As on the date of the suit, 5th May, 2026, he is a full partner of the firm.

(iii) Having become a partner, Section 30(7) fastens upon him personal liability to third parties for all acts of the firm done since he was admitted to the benefits of partnership, that is, since 1st July, 2022. The dues claimed relate to the period from October, 2022 to March, 2026, which falls wholly within that period. His contention that his liability is limited to his share in the firm, or that it can commence only from the date of majority, is therefore not sustainable.

(iv) Had Rohan given public notice on 1st December, 2025, that date being within the six-month period, his election not to become a partner would have been effective. His rights and liabilities would have continued to be those of a minor up to 1st December, 2025; his share would not have

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been liable for any act of the firm done after that date; there would have been no personal liability at all; and he could have sued the partners for his share of the property and profits of the firm.

Conclusion: The period for election expired on 20th March, 2026. Rohan became a full partner on that date by operation of law. He is personally liable, jointly and severally with the other partners, for the entire claim of ₹ 12 lakh of M/s Godavari Packaging in respect of supplies made from October, 2022 onwards. Had he given public notice on 1st December, 2025, he would have escaped all personal liability and his share would have been free from liability for acts of the firm done after that date.

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UNIT 3: REGISTRATION AND DISSOLUTION OF A FIRM

Sample Case Studies

Question 1. Effect of Non-Registration of a Firm — Section 69

> ***Why this question:*** *Section 69 across five scenarios, including the savings for criminal proceedings and for suits for dissolution and accounts, and why registering while the suit is pending does not help.*

M/s Godavari Traders is a partnership firm at Noida carrying on the business of trading in electrical goods. The firm has never been registered with the Registrar of Firms. It has three partners — Mr. Gopal, Mr. Datta and Mr. Vivek. The following matters have arisen during the financial year 2025-26:

(i) The firm supplied goods worth ₹ 9,00,000 to a customer, Mr. Ratan, who has failed to pay. The firm has filed a civil suit against Mr. Ratan for recovery of the price.

(ii) M/s Sahyadri Cables, a supplier, has filed a suit against the firm for recovery of ₹ 5,00,000. The firm wishes to claim a set-off of ₹ 1,50,000 in respect of defective goods supplied by that supplier.

(iii) Mr. Vivek has filed a suit against Mr. Gopal and Mr. Datta claiming that his agreed share of profits for the last two years has not been paid to him.

(iv) The firm has lodged a criminal complaint against its former accountant for criminal breach of trust in respect of ₹ 3,20,000 misappropriated by him from the firm's cash.

(v) On being advised that non-registration may prove fatal to the suit against Mr. Ratan, the partners have applied to the Registrar of Firms for registration while that suit is still pending, and contend that the defect now stands cured.

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Examine each of the above matters with reference to the provisions of the Indian Partnership Act, 1932, and advise the partners. Would your answer to (iii) be different if Mr. Vivek had instead sued for dissolution of the firm and for accounts of the dissolved firm?

Question 2. Settlement of Accounts and Liability after Dissolution — Sections 45 and 48

> ***Why this question:*** *A Section 48 settlement of accounts worked out in figures, together with the Section 45 trap of not giving public notice of dissolution.*

M/s Ajinkya Distributors, a partnership firm at Selampur, was dissolved by mutual agreement on 31st March, 2026. Its three partners, Mr. Ajinkya, Mr. Bhavesh and Mr. Chinmay, shared profits and losses in the ratio of 3 : 2 : 1. On the date of dissolution the position of the firm was as follows:

- Assets of the firm realised — ₹ 31,00,000
- Debts due to third parties — ₹ 18,00,000
- Loan advanced to the firm by Mr. Bhavesh, over and above his capital — ₹ 4,00,000
- Capital contributed — Mr. Ajinkya ₹ 12,00,000; Mr. Bhavesh ₹ 6,00,000; Mr. Chinmay ₹ 3,00,000

The partnership deed is silent on the mode of settlement of accounts.

Separately, on 25th April, 2026, Mr. Chinmay purchased goods worth ₹ 4,50,000 on credit in the name of the firm from M/s Bhima Electricals, an old supplier of the firm who had no knowledge of the dissolution. No public notice of the dissolution had been given as on that date.

Referring to the provisions of the Indian Partnership Act, 1932:

(i) State the order in which the assets of the firm must be applied, and show the settlement of accounts among the partners.

(ii) State whether Mr. Ajinkya and Mr. Bhavesh are liable to M/s Bhima Electricals for the purchase of 25th April, 2026, and what they ought to have done to avoid such liability.

Suggested Answers

Answer 1. Effect of Non-Registration of a Firm — Section 69

Provision: Section 69 of the Indian Partnership Act, 1932 lays down the consequences of the non-registration of a firm:

- Sub-section (1): No suit to enforce a right arising from a contract or conferred by the Act may be instituted in any Court by or on behalf of any person suing as a partner in a firm against the firm or any person alleged to be or to have been a partner in the firm, unless the firm is registered and the person suing is or has been shown in the Register of Firms as a partner in the firm.
- Sub-section (2): No suit to enforce a right arising from a contract may be instituted in any Court by or on behalf of a firm against any third party unless the firm is registered and the persons suing are or have been shown in the Register of Firms as partners in the firm.
- Sub-section (3): The provisions of sub-sections (1) and (2) apply also to a claim of set-off or other proceeding to enforce a right arising from a contract.

However, Section 69(3) expressly saves — (a) the enforcement of any right to sue for the dissolution of a firm, or for accounts of a dissolved firm, or any right or power to realise the property of a dissolved firm; and (b) the powers of an Official Assignee, Receiver or Court under the insolvency law to realise the property of an insolvent partner. Section 69(4) further provides that the section does not apply to firms or partners having no place of business in India, nor to any suit or claim of set-off not exceeding one hundred rupees in value.

The bar imposed by Section 69 applies only to suits to enforce rights arising from a contract or conferred by the Act. It does not affect the right to institute criminal proceedings, nor suits to enforce rights arising otherwise than out of a contract.

Application: (i) The suit against Mr. Ratan for the price of goods is a suit by the firm against a third party to enforce a right arising from a contract. It is squarely hit by Section 69(2).

(ii) The claim of set-off of ₹ 1,50,000 is a claim to enforce a right arising from a contract, and is hit by Section 69(3). The saving in Section 69(4) is unavailable, since the claim far exceeds ₹ 100.

(iii) The suit by Mr. Vivek against his co-partners for his share of profits is a suit by a person suing as a partner against persons alleged to be partners, to enforce a right arising from a contract. It is hit by Section 69(1).

(iv) A complaint for criminal breach of trust is a criminal proceeding and does not seek to enforce a right arising from a contract. Section 69 has no application.

(v) The bar under Section 69 operates at the time of the institution of the suit. Registration effected after the institution of the suit does not cure the initial defect, and the suit remains liable to be dismissed.

Conclusion: (i) The suit against Mr. Ratan is not maintainable. (ii) The firm cannot claim the set-off of ₹ 1,50,000, though it may of course defend the supplier's suit on merits. (iii) Mr. Vivek's suit for his share of profits is not maintainable. (iv) The criminal complaint against the former accountant is fully maintainable notwithstanding non-registration. (v) The contention of the partners is not correct; the subsequent registration does not validate the pending suit. The correct course is to withdraw the suit, get the firm registered, and then institute a fresh suit, subject to the law of limitation.

As regards the alternative in (iii): had Mr. Vivek sued for dissolution of the firm and for accounts of the dissolved firm, the suit would have been maintainable, since such suits are expressly saved by Section 69(3)(a) notwithstanding the non-registration of the firm.

Answer 2. Settlement of Accounts and Liability after Dissolution — Sections 45 and 48

Provision: Section 48 of the Indian Partnership Act, 1932 provides that in settling the accounts of a firm after dissolution, the following rules shall, subject to agreement by the partners, be observed:

- Clause (a): Losses, including deficiencies of capital, shall be paid first out of profits, next out of capital, and lastly, if necessary, by the partners individually in the proportions in which they were entitled to share profits.
- Clause (b): The assets of the firm, including any sums contributed by the partners to make up deficiencies of capital, shall be applied in the following manner and order — (i) in paying the debts of the firm to third parties; (ii) in paying to each partner rateably what is due to him from the firm for advances as distinguished from capital; (iii) in paying to each partner rateably what is due to him on account of capital; and (iv) the residue, if any, shall be divided among the partners in the proportions in which they were entitled to share profits.

Section 45(1) provides that notwithstanding the dissolution of a firm, the partners continue to be liable as such to third parties for any act done by any of them which would have been an act of the firm if done before the dissolution, until public notice is given of the dissolution. The proviso exempts the estate of a partner who dies, or who is adjudicated an insolvent, or of a partner who, not having been known to the person dealing with the firm to be a partner, retires from the firm.

Application: (i) The firm's assets realised ₹ 31,00,000. Applying these in the order laid down in Section 48(b): the debts due to third parties of ₹ 18,00,000 must be discharged first, leaving ₹ 13,00,000. Next, the advance of ₹ 4,00,000 made by Mr. Bhavesh over and above his capital must be repaid, this being an advance as distinguished from capital, leaving ₹ 9,00,000 available towards capital.

The capitals contributed aggregate ₹ 21,00,000, whereas only ₹ 9,00,000 is available. There is accordingly a deficiency of capital of ₹ 12,00,000, which, under Section 48(a), must be borne by the partners in the proportions in which they were entitled to share profits, that is, 3 : 2 : 1. The deficiency is therefore borne as — Mr. Ajinkya ₹ 6,00,000; Mr. Bhavesh ₹ 4,00,000; and Mr. Chinmay ₹ 2,00,000.

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The final settlement of capital accounts is therefore — Mr. Ajinkya: ₹ 12,00,000 less ₹ 6,00,000 = ₹ 6,00,000; Mr. Bhavesh: ₹ 6,00,000 less ₹ 4,00,000 = ₹ 2,00,000; Mr. Chinmay: ₹ 3,00,000 less ₹ 2,00,000 = ₹ 1,00,000. These aggregate to ₹ 9,00,000, which exactly exhausts the amount available, leaving no residue for distribution under clause (b)(iv). It may be added that under Section 13(d), the interest at six per cent per annum on Mr. Bhavesh's advance would continue to run even after dissolution until the advance is actually repaid.

(ii) The purchase of 25th April, 2026 was made after the dissolution, but no public notice of the dissolution had been given, and M/s Bhima Electricals, an old supplier, had no knowledge of it. The act of purchasing goods on credit in the firm name would have been an act of the firm if done before the dissolution. Section 45(1) therefore applies, and none of the exceptions in the proviso is attracted, no partner having died, been adjudicated insolvent, or been a dormant partner unknown to the supplier.

Conclusion: (i) The assets of ₹ 31,00,000 must be applied first in paying the third party debts of ₹ 18,00,000, then in repaying Mr. Bhavesh's advance of ₹ 4,00,000, and the balance of ₹ 9,00,000 in paying the capitals, the deficiency of ₹ 12,00,000 being borne by the partners in the ratio 3 : 2 : 1. Mr. Ajinkya will receive ₹ 6,00,000, Mr. Bhavesh ₹ 2,00,000 in addition to the repayment of his advance, and Mr. Chinmay ₹ 1,00,000.

(ii) Mr. Ajinkya and Mr. Bhavesh are liable, jointly and severally with Mr. Chinmay, to M/s Bhima Electricals for ₹ 4,50,000. To avoid this liability they ought to have given public notice of the dissolution of the firm promptly upon its dissolution on 31st March, 2026, as contemplated by Section 45(1). Such notice may be given by any partner of the dissolved firm.

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CHAPTER 5

THE LIMITED LIABILITY PARTNERSHIP ACT, 2008

As amended by the Limited Liability Partnership (Amendment) Act, 2021

Sample Case Studies

Question 1. Designated Partners — Section 7

> ***Why this question:*** *Section 7 designated partners with the 120-day residency test, the very provision asked in May 2026.*

Deccan Robotics LLP was incorporated at Pune with five partners. Mr. Aniket is an individual who stayed in India for 200 days during the financial year 2025-26. Ms. Bhairavi is an individual who stayed in India for only 95 days during that year. Mr. Chirag is an individual who stayed in India for 40 days during that year. The fourth partner is Tejas Systems Private Limited, an Indian company, and the fifth partner is Orion Holdings LLP, a limited liability partnership incorporated in Singapore which has established a place of business in India.

While filing the incorporation document, the partners named Ms. Bhairavi and Mr. Chirag as the designated partners of the LLP. Mr. Aniket was not named as a designated partner. A doubt has now been raised by the LLP's consultant on the validity of this arrangement.

(i) Examine whether the appointment of Ms. Bhairavi and Mr. Chirag as the designated partners of Deccan Robotics LLP is in order under the Limited Liability Partnership Act, 2008.

(ii) State the minimum statutory requirement as to designated partners and indicate how the LLP should correct the position.

(iii) Suppose all the five partners of the LLP had been bodies corporate. How would the requirement as to designated partners have been satisfied in that situation? Also state whether Orion Holdings LLP could validly be a partner in an Indian LLP.

Question 2. Reduction in Number of Partners — Section 6

> ***Why this question:*** *Section 6 and the six-month window: which debts the sole surviving partner must pay personally, and which he need not.*

Konkan Agro Ventures LLP, having its registered office at Ratnagiri, was carrying on the business of processing and export of cashew. It had only two partners, Mr. Deepak and Mr. Eknath. Mr. Eknath died on 1st April, 2025. No new partner was admitted thereafter.

Mr. Deepak, fully aware that he was the only partner left, continued to carry on the business of the LLP in its name up to 31st March, 2026. During the period from 1st April, 2025 to 30th September, 2025 the LLP incurred obligations of ₹4,00,000 towards its suppliers, and during the period from 1st October, 2025 to 31st March, 2026 it incurred further obligations of ₹9,00,000. The assets of the LLP have proved insufficient to meet these dues and the suppliers now propose to proceed against Mr. Deepak personally.

(i) State whether Konkan Agro Ventures LLP came to an end on the death of Mr. Eknath.

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(ii) Examine the extent to which Mr. Deepak can be made personally liable for the obligations of the LLP.

(iii) Would your answer as to the sum of ₹4,00,000 be any different from your answer as to the sum of ₹9,00,000? Give reasons.

Suggested Answers

Answer 1. Designated Partners — Section 7

(i) Validity of the appointment

Provision: Section 7(1) of the LLP Act, 2008 requires that every LLP shall have at least two designated partners who are individuals, and at least one of them shall be a resident in India. For this purpose, a resident in India means a person who has stayed in India for a period of not less than 120 days during the financial year.

Application: Ms. Bhairavi and Mr. Chirag are both individuals, so the requirement of two individual designated partners is satisfied. However, Ms. Bhairavi stayed in India for 95 days and Mr. Chirag for 40 days. Neither of them reaches the threshold of 120 days. There is therefore no resident designated partner in the LLP.

Conclusion: The appointment is not in order. The LLP does not comply with Section 7(1).

(ii) Minimum requirement and the correction needed

The minimum requirement is two individual designated partners with at least one resident in India. Mr. Aniket stayed in India for 200 days and is therefore a resident. The position can be set right by naming Mr. Aniket as one of the designated partners in the place of either Ms. Bhairavi or Mr. Chirag.

(iii) If all partners were bodies corporate

Section 7(2) provides that where all the partners of an LLP are bodies corporate, or where some partners are individuals and some are bodies corporate, at least two individuals who are partners of the LLP or nominees of such bodies corporate shall act as designated partners. The requirement would therefore be met by two individuals nominated by the body corporate partners, one of whom must be a resident in India.

As regards Orion Holdings LLP, a foreign LLP is an LLP formed, incorporated or registered outside India which establishes a place of business within India, and a foreign LLP can become a partner in an Indian LLP. Its partnership in Deccan Robotics LLP is therefore valid.

Answer 2. Reduction in Number of Partners — Section 6

(i) Effect of the death of Mr. Eknath on the existence of the LLP

Provision: An LLP is a body corporate having perpetual succession and is a legal entity separate from its partners. The death, insanity, retirement or insolvency of a partner does not affect the existence of the LLP.

Application: The death of Mr. Eknath did not put an end to Konkan Agro Ventures LLP. The LLP continued to exist as a separate legal person and could continue to hold property and enter into contracts in its own name.

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Conclusion: The LLP did not come to an end on the death of Mr. Eknath.

(ii) Personal liability of Mr. Deepak

Provision: Section 6 provides that every LLP shall have at least two partners. If at any time the number of partners is reduced below two and the LLP carries on business for more than six months while the number is so reduced, the person who is the only partner during the time the business is so carried on after those six months, and who knows that the business is being carried on with him alone, shall be personally liable for the obligations of the LLP incurred during that period.

Application: The number of partners fell below two on 1st April, 2025. The six month period expired on 30th September, 2025. Mr. Deepak carried on the business alone thereafter until 31st March, 2026 with full knowledge of the position. The obligations of ₹9,00,000 fall within that later period.

Conclusion: Mr. Deepak is personally liable for ₹9,00,000. This liability is in addition to, and not in substitution of, the liability of the LLP itself, which remains liable to the extent of its assets.

(iii) Position as to ₹4,00,000

Yes, the position is different. The sum of ₹4,00,000 was incurred between 1st April, 2025 and 30th September, 2025, that is, within the six month grace period allowed by Section 6. Personal liability under Section 6 attaches only to obligations incurred after the expiry of six months. For this sum the LLP alone is liable to the full extent of its assets, and the liability of Mr. Deepak remains limited to his agreed contribution.

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CHAPTER 6

THE COMPANIES ACT, 2013

Sections 1 to 22 | Formation, Classes of Companies and Documents

Sample Case Studies

Question 1. Small Company

> ***Why this question:*** *Applies the revised small company limits under Section 2(85), Rs. 10 crore paid-up capital and Rs. 100 crore turnover with effect from 1st December 2025, together with the holding and subsidiary exclusion.*

Sunrise Agro Private Limited was incorporated in 2021 at Mumbai to trade in agricultural produce. As per its last audited financial statements, its paid-up share capital is ₹3.50 crore and its turnover for the immediately preceding financial year is ₹38 crore. The entire share capital of the company is held by Bharat Foods Limited, a listed public company.

The directors of Sunrise Agro Private Limited, noticing that both its capital and turnover are within the prescribed limits, passed a Board resolution declaring the company to be a "small company" and decided to avail the privileges available to small companies, such as preparing an abridged Board's Report, not preparing a cash flow statement, and holding only two Board meetings in a year.

In January 2026, Bharat Foods Limited sold its entire shareholding in Sunrise Agro Private Limited to Mr. Patil and his family members, and the company ceased to be a subsidiary of any company.

The directors seek your advice on the following matters:

(i) Whether Sunrise Agro Private Limited could be classified as a "small company" while its entire share capital was held by Bharat Foods Limited.

(ii) Whether the position would change after Mr. Patil and his family acquired the entire shareholding of the company.

(iii) State any two privileges or exemptions available to a small company under the Companies Act, 2013.

Analyzing the applicable provisions of the Companies Act, 2013, advise the directors.

Question 2. Conversion of Public Company into Private Company — The 200-Member Trap

> ***Why this question:*** *The 200-member limit under Section 2(68) worked out from a register of 230 names: employees, former employees, joint holders and nominees.*

Aarohan Consumer Products Limited, a company engaged in the manufacture and distribution of packaged food products, was incorporated as a public company in Maharashtra. After a review of its business model, the Board of Directors proposed to convert the company into a private company so that the promoters could exercise greater control over the transfer of shares and the company could avail itself of the exemptions available to private companies.

At the time of considering the proposal, the company had 230 persons whose names appeared in the register of members. The Company Secretary prepared the following statement for the Board:

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i. Promoters, directors and their relatives — 190
ii. Employees of the company who were members — 15
iii. Former employees who had acquired shares while they were employees and continued to hold them after leaving employment — 10
iv. Five sets of shares held jointly by two persons each — 10
v. Other members — 5
vi. Total — 230

During the Board meeting, one director argued that the company had 230 members and therefore it could not be converted into a private company unless at least 30 members transferred their shares.

Another director disagreed. He contended that the 15 employees and 10 former employees should not be counted for determining the maximum number of members of a private company. He further argued that the ten persons holding shares jointly should be treated as only five members.

The Company Secretary, however, pointed out that some of the former employees had ceased employment only recently, while others had left the company several years ago. The Board also discovered that two of the "other members" were actually nominees holding shares jointly on behalf of another person.

The promoters now propose to proceed with the conversion without asking any member to transfer his shares, contending that the company is already within the permissible limit after applying the statutory exclusions.

The Board seeks your advice on the following:

(i) Determine the number of members to be considered for the purpose of the maximum limit applicable to a private company.

(ii) Whether Aarohan Consumer Products Limited is required to reduce its membership before conversion into a private company?

(iii) State the treatment of joint holders and persons who are employees or former employees while determining the number of members of a private company.

Analyzing the applicable provisions of the Companies Act, 2013, advise the Board of Directors.

Suggested Answers

Answer 1. Small Company

(i) Status while a subsidiary

Provision: As per Section 2(85) read with the rules as amended with effect from 01.12.2025, a 'small company' means a company, other than a public company, whose paid-up share capital does not exceed ₹10 crore and whose turnover, as per the profit and loss account for the immediately preceding financial year, does not exceed ₹100 crore. However, the proviso expressly excludes (a) a holding company or a subsidiary company; (b) a company registered under Section 8; and (c) a company or body corporate governed by any special Act.

Application: Sunrise Agro Private Limited satisfies both monetary limits (paid-up capital ₹3.50 crore and turnover ₹38 crore). However, its entire share capital was held by Bharat Foods Limited,

making it a subsidiary company, which is excluded by the proviso irrespective of the size criteria. The status of a small company flows from the statute and cannot be conferred by a Board resolution.

Conclusion: The company could not be classified as a small company while it was a subsidiary of Bharat Foods Limited, and the Board resolution declaring it so was of no legal effect.

(ii) Position after change in shareholding

Provision: The status of a small company is not permanent; it is to be tested on the basis of the position existing from time to time as per the criteria in Section 2(85).

Application: Upon acquisition of the entire shareholding by Mr. Patil and his family in January 2026, the company ceased to be a subsidiary of any company. Being a private company well within the limits of ₹10 crore paid-up capital and ₹100 crore turnover, no disqualification under the proviso now applies.

Conclusion: After the change in shareholding, Sunrise Agro Private Limited qualifies as a small company and may avail the privileges available to small companies.

(iii) Privileges of a small company (any two)

(a) Exemption from including a cash flow statement as part of its financial statements [Section 2(40)]; (b) it is sufficient to hold one Board meeting in each half of the calendar year, with a gap of not less than 90 days between the two meetings [Section 173(5)]; (c) the annual return may be signed by the company secretary or, where there is none, by a director [Section 92(1)]; (d) lesser penalties for defaults under Section 446B; (e) abridged Board's Report as prescribed.

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Answer 2. Conversion of Public Company into Private Company [Section 2(68)]

(i) Number of members to be considered

Provision: Under Section 2(68), a private company must, by its articles, limit the number of its members to two hundred (except in the case of a One Person Company). In computing this limit, (a) persons who are in the employment of the company, and (b) persons who, having been formerly in the employment of the company, were members of the company while in that employment and have continued to be members after the employment ceased, are not counted. Further, where two or more persons hold one or more shares in a company jointly, they are treated as a single member.

Application: Out of the 230 persons on the register: the 15 present employees are excluded; the 10 former employees are excluded, as they acquired shares while in employment and continued to hold them after leaving; the five sets of joint holders (10 persons) count as 5 members; and among the 5 "other members", the two nominees who hold shares jointly count as one member, so this category counts as 4. The effective number is therefore 190 + 5 + 4 = 199.

Conclusion: The number of members to be considered for the maximum limit applicable to a private company is 199.

(ii) Whether membership must be reduced before conversion

Provision: The ceiling of 200 members under Section 2(68) applies to the membership as computed after the statutory exclusions and the joint-holder rule, and not to the gross number of names on the register. Conversion of a public company into a private company is effected by altering the articles under Section 14 by a special resolution, and such alteration takes effect only on approval of the Central Government.

Application: The first director relied on the gross figure of 230, ignoring the exclusions. The effective membership is 199, which is within the ceiling of 200, so no member needs to transfer his shares.

Conclusion: Aarohan Consumer Products Limited is not required to reduce its membership. It may proceed with the conversion by altering its articles by special resolution to include the restrictions of Section 2(68) and obtaining the approval of the Central Government under Section 14.

(iii) Treatment of joint holders, employees and former employees

Provision: Under Section 2(68), joint holders of shares are treated as a single member; present employees who are members are excluded; and former employees are excluded only if they were members while in employment and continued as members after the employment ceased.

Application: The 10 joint holders count as 5 members and the two nominee joint holders count as 1. The 15 present employees are excluded. All 10 former employees are excluded because each of them became a member while in employment and continued thereafter; the period that has elapsed since they left is irrelevant, so the distinction drawn by the Company Secretary between recent and earlier leavers makes no difference. (A former employee who acquired shares only after leaving the company would, however, be counted.)

Conclusion: The second director is correct: joint holders are counted as one member each, and employees and qualifying former employees are excluded. Applying these rules, the company is within the limit of 200 members.

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CHAPTER 7

THE NEGOTIABLE INSTRUMENTS ACT, 1881

Kinds of Instruments, Negotiation, Presentment and Dishonour

Sample Case Studies

Question 1. Time Limits for Prosecution — Sections 138 and 142

> ***Why this question:*** *The three time limits of Section 138 (presentation, notice and payment) computed on actual calendar dates.*

Mr. Nikhil issued a cheque dated 5th March 2026 for ₹3,00,000 to Ms. Ojaswini towards the price of goods supplied by her. The cheque was presented on 20th May 2026 and was returned unpaid on 22nd May 2026 for insufficiency of funds. Ms. Ojaswini received the return memo from her bank on 24th May 2026. Answer, treating the sub-parts as independent:

(i) Ms. Ojaswini issued the demand notice in writing on 30th June 2026. Is the offence under section 138 made out?

(ii) Assume instead that the notice was issued on 10th June 2026 and was received by Mr. Nikhil on 12th June 2026, and that he made no payment. When does the cause of action arise and from when may the complaint be filed?

(iii) Assume instead that the cheque was first presented on 10th June 2026. What is the effect?

Question 2. Security Cheque and the Presumption — Sections 138 and 139

> ***Why this question:*** *The common defence that "it was only a security cheque", tested against the presumption under Section 139.*

M/s Bright Stationers supplied office furniture worth ₹4,80,000 to M/s Alpha Consultants on 10th January, 2026. Towards payment of the outstanding amount, Alpha Consultants, through its proprietor Mr. Arvind, issued a cheque dated 15th February, 2026 for ₹4,80,000 in favour of Bright Stationers.

Bright Stationers presented the cheque within its validity period. However, the cheque was returned unpaid with the bank's memo stating "Funds Insufficient."

On 25th February, 2026, Bright Stationers issued a legal demand notice to Mr. Arvind demanding payment of the cheque amount. The notice was duly received on 28th February, 2026, but Mr. Arvind neither replied to the notice nor paid the amount within 15 days.

During the trial, Mr. Arvind admitted that the cheque bore his signature but contended that the cheque had been issued merely as a security cheque at the commencement of business dealings and not towards any legally enforceable debt.

Bright Stationers, however, produced tax invoices, delivery challans, ledger accounts, and an acknowledgment of the outstanding balance signed by Mr. Arvind.

(a) Whether the ingredients of the offence under Section 138 are satisfied in the above case? Give reasons.

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(b) Explain the presumption available under Section 139 of the Negotiable Instruments Act, 1881.

(c) On whom does the burden of proof lie after Mr. Arvind admits his signature on the cheque? Will his mere plea that the cheque was issued as a security cheque be sufficient to escape liability?

Suggested Answers

Answer 1. Time Limits for Prosecution — Sections 138 and 142

Provision: Section 138 does not apply unless three conditions are satisfied. First, the cheque must be presented to the bank within three months from the date on which it is drawn, or within the period of its validity, whichever is earlier. Second, the payee or the holder in due course must make a demand for payment by giving a notice in writing to the drawer within 30 days of receiving information from the bank that the cheque has been returned unpaid. Third, the drawer must fail to make payment within 15 days of receipt of that notice. The offence is complete only when the third condition is fulfilled. The complaint can therefore be filed only after the expiry of 15 days from the date of receipt of the notice by the drawer, and within one month thereafter.

Application and conclusion:

(i) The cheque bears the date 5th March 2026 and was presented on 20th May 2026, which is within three months. Information of dishonour reached Ms. Ojaswini on 24th May 2026, so the notice had to be given on or before 23rd June 2026. The notice issued on 30th June 2026 is beyond 30 days. The second condition fails and no offence under section 138 is made out. Her civil remedy for recovery of the price survives.

(ii) The notice dated 10th June 2026 is within 30 days of 24th May 2026 and is therefore valid. It was received on 12th June 2026, so Mr. Nikhil had 15 days, that is up to 27th June 2026, to pay. He did not pay. The offence is complete and the cause of action arises on 28th June 2026, and the complaint may be filed on or after that date.

(iii) Presentment on 10th June 2026 is beyond three months from 5th March 2026, the last day being 5th June 2026. The first condition fails and section 138 is not attracted at all, whatever the reason for the return of the cheque.

Answer 2. Security Cheque and the Presumption — Sections 138 and 139

(a) Applicability of Section 138

Yes. The essential ingredients of Section 138 are fulfilled because:

- The cheque was issued towards payment of an existing liability.
- It was presented within its validity period.
- The cheque was dishonoured due to "Funds Insufficient."
- The payee issued the statutory demand notice within the prescribed time.
- The drawer failed to make payment within 15 days from the date of receipt of the notice.

Hence, the drawer is liable under Section 138 of the Negotiable Instruments Act, 1881.

(b) Presumption under Section 139

Section 139 provides that the Court shall presume, unless the contrary is proved, that the holder of the cheque received the cheque for the discharge, wholly or partly, of a legally enforceable debt or other liability.

This is a rebuttable presumption, and it operates once the execution/signature of the cheque is admitted.

(c) Burden of Proof

Since Mr. Arvind has admitted his signature on the cheque, the statutory presumption under Section 139 immediately comes into operation.

The burden now shifts to Mr. Arvind to rebut the presumption by producing credible evidence showing that no legally enforceable debt or liability existed.

A mere assertion that the cheque was issued as a security cheque is not sufficient. In the present case, Bright Stationers has produced invoices, delivery challans, ledger accounts, and an acknowledgment of liability, all of which support the existence of a legally enforceable debt. Therefore, unless Mr. Arvind successfully rebuts the presumption with convincing evidence, he will remain liable under Section 138.

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- **Model answers for every question** in the Provision → Application → Conclusion format, placed at the end of each unit.

Part 1 of the Question Bank covers the Indian Contract Act, 1872, the largest chapter of the paper, with 57 application-based case studies. The two parts follow the same structure and are meant to be used together.

RTPs, MTPs and past papers remain the base of your preparation. This book is the layer above that base: the practice of reading facts accurately and applying the law to them, which is what the paper now rewards.

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About This Question Bank

Studying **Business Laws** is not just about understanding the provisions. The real challenge begins when you have to apply those provisions to a new set of facts and frame the answer correctly.

The ICAI Study Material, RTPs, MTPs and Previous Year Papers form the foundation of your preparation. But sometimes you simply need **more questions to practise, more situations to analyse and more opportunities to test your understanding.**

That is where the Smart Revision Question Bank steps in.

Designed as a supplementary practice resource for CA Foundation students, Part 2 carries the same approach beyond the Contract Act. It takes you through the rest of the Business Laws syllabus with **application-based case studies, exam-oriented descriptive questions and fully solved past papers.**

WHAT'S INSIDE

- **136 questions with model answers**
  across 6 chapters and 11 units of the remaining Business Laws syllabus
- **70 application-based case studies**
  that test how provisions apply to new facts
- **66 descriptive questions**
  covering definitions, distinctions and short notes, each with a topic heading
- **Solved questions from the May 2026 and September 2026 papers**
  reproduced in full and placed unit-wise
- **Unit Overview, Learning Outcomes and High-Priority Topics**
  at the start of every chapter and unit
- **Provision → Application → Conclusion**
  every answer is written the way marks are awarded
- **Answers at the end of each unit,**
  so you attempt first and check while it's fresh

THE IDEA BEHIND THE BOOK

Learn the provision. Understand the facts. Apply the law. Frame the conclusion.
Because knowing the law is only the beginning.
The real preparation begins when you learn to apply it.

PART 1 OF THE SMART REVISION QUESTION BANK

Covers The Indian Contract Act, 1872, all 9 units, with:

- 95 questions with model answers
- 57 application-based case studies
- 38 descriptive questions
- 9 solved questions from the May 2026 and September 2026 papers

Use Part 1 and Part 2 together for complete coverage of CA Foundation Paper 2 — Business Laws.